WHAT THE DEAL MEANS

- With the US reducing reciprocal tariff from 25% to 18%, India gains advantage over ASEAN nations, Pakistan and Bangladesh
- But it comes with riders to stop buying oil from Russia and pick up Venezuelan and US oil
- American goods will also face zero tariffs in India, while India is to commit to buying $500 billion worth of American goods

The US president said India had agreed to reduce its tariff and non-tariff barriers on US goods to zero and also to stop buying Russian oil. Besides, he added, the Indian prime minister had committed to "Buy American" at a much higher level in addition to over $500 billion worth of US energy, technology, agricultural products and coal.

THE INDIAN RESPONSE

Modi's tweet soon after was more circumspect, calling Trump "his dear friend" and thanking him for reducing the tariffs. The prime minister avoided mention of Trump's conditions but said he was looking forward to taking their partnership to "unprecedented heights". He also lauded Trump's leadership in ensuring global peace and stability, a move many saw as a way to assuage the US president after India refuted his repeated claims of brokering peace in the India-Pakistan conflict last May.

While Trump's post made no mention of lifting the additional 25 per cent tariff penalty on India for buying Russian oil, the new US ambassador to India, Sergio Gor, who is believed to have played a big role in clinching the deal, told INDIA TODAY that it would be lifted too, and 18 per cent would be the overall tariff. Meanwhile, officials in India's commerce ministry clarified that the $500 billion annual trade figure Trump cited was a target to be reached over five years and mirrored the commitment the two countries had made during Modi's February 2025 bilateral visit, shortly after Trump's second term began.

To counter the Opposition's charge that Modi had "sold the country to the US", Union commerce minister Piyush Goyal clarified that "India's core sensitivities in food and agriculture have been fully safeguarded. This landmark agreement will unlock new opportunities for MSMEs, entrepreneurs, skilled workers and industry, enable access to advanced technologies, and support India's vision to make in India for the world". The detailed contours of the agreement, the minister added, would be out shortly and the two sides will work expeditiously to complete the "necessary technical processes and finalise the paperwork related to the trade deal".



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>
> — **PIYUSH GOYAL,** *Union Minister of Commerce and Industry*

THE SAVING GRACE

Despite the lack of details, experts termed it the "father of all deals" since it came on the back of India signing a "mother-of-all" trade deals with the European Union a week earlier. There is no doubt that the new Indo-US deal has several significant benefits. Besides removing an acute competitive disadvantage for Indian trade, it cools a volatile relationship and restores a degree of predictability to Indo-US ties. What the deal very definitely does not do is restore the pre-tariff order in which India's average exposure to American levies was around 2.5 per cent. But it does save India from being, along with Brazil, the most heavily penalised US trading partners with a tariff of 50 per cent. Arun Singh, a former Indian ambassador to the US, says, "What the deal does do is remove the sharpest edge of disadvantage. For that reason alone, it should be welcome." At 18 per cent, India will be in a marginally better tariff position than many competing ASEAN economies, which face around 20 per cent, while Pakistan and Bangladesh pay 19 per cent. In labour-intensive sectors like textiles, footwear, light manufacturing and engineering goods, this will restore the balance for India. Though the US is India's largest trading partner, it will be harder to bump up trade to $500 billion from the $210 billion-odd currently.

The deal's other benefit is that it puts India-US relations on a more even keel, a good enough reason, as Evan A. Feigenbaum, former US deputy assistant secretary of state for South and Central Asian affairs, says, for both leaders to celebrate and take the win. He does caution, though, that "Let's not talk as if the past six months somehow just went 'poof' in a magical puff of fairy dust and smoke. International politics and domestic politics are not populated by unicorns and leprechauns, so there really is such a thing as collateral damage". Also, Trump-style trade deals, as many countries have realised, are thin on detail, heavy on optics, and potentially reversible. In the weeks ahead, Indian negotiators should ensure there are no devils in the detail that could derail relations again. ■